

NPAS, BASEL NORMS, RESOLUTION AND FINANCIAL INCLUSION

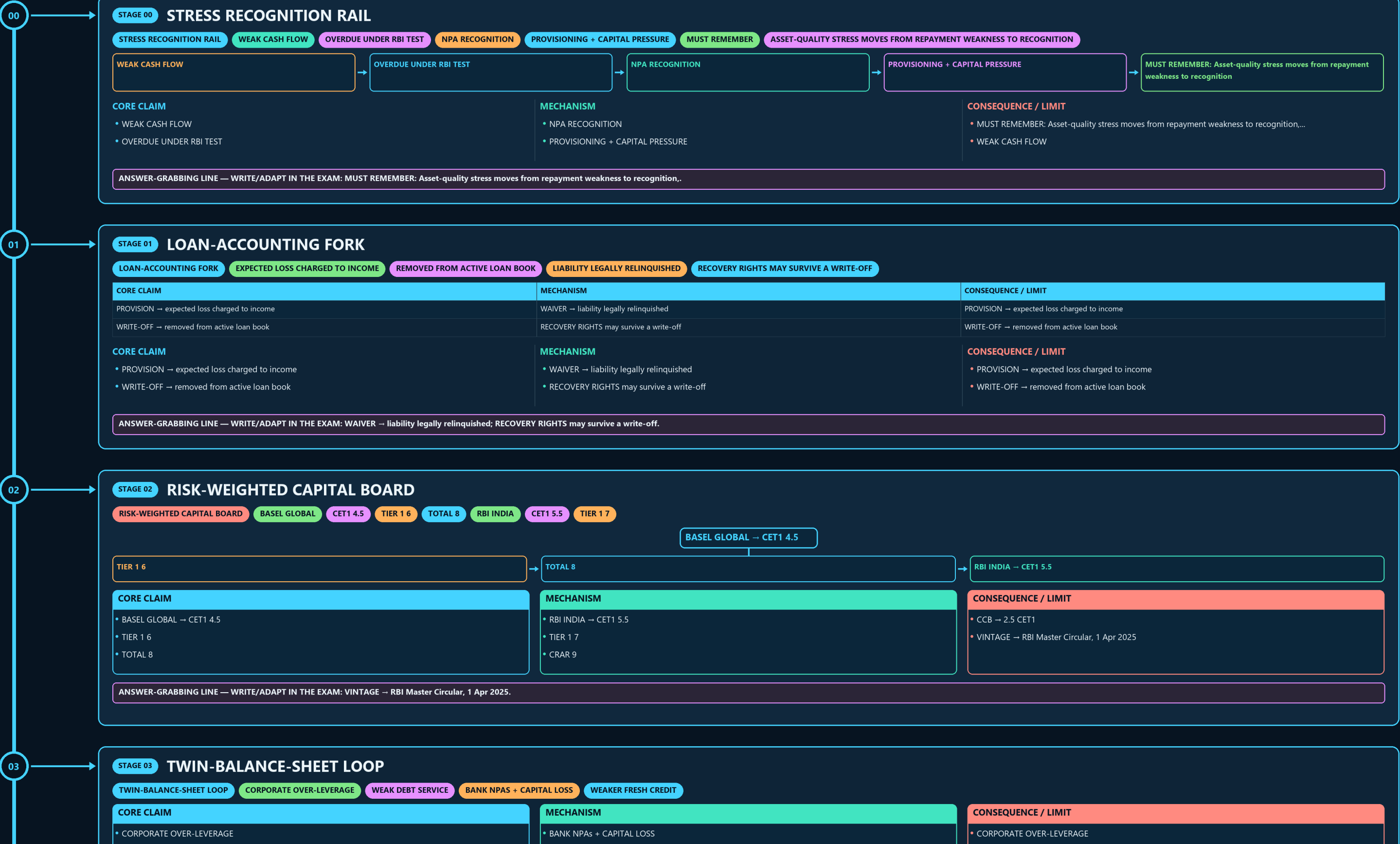
STRESS RECOGNITION RAIL → LOAN-ACCOUNTING FORK → RISK-WEIGHTED CAPITAL BOARD → TWIN-BALANCE-SHEET LOOP → RECOVERY-RESOLUTION LADDER → STRESSED-ASSET TRANSFER

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• BASEL GLOBAL → CET1 4.5 • TIER 1 6 • TOTAL 8	• RBI INDIA → CET1 5.5 • TIER 1 7 • CRAR 9	• CCB → 2.5 CET1 • VINTAGE → RBI Master Circular, 1 Apr 2025
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: VINTAGE → RBI Master Circular, 1 Apr 2025.		

03

STAGE 03 TWIN-BALANCE-SHEET LOOP		
TWIN-BALANCE-SHEET LOOP	CORPORATE OVER-LEVERAGE	WEAK DEBT SERVICE
BANK NPAs + CAPITAL LOSS		
WEAKER FRESH CREDIT		
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• CORPORATE OVER-LEVERAGE • WEAK DEBT SERVICE	• BANK NPAs + CAPITAL LOSS • WEAKER FRESH CREDIT	• CORPORATE OVER-LEVERAGE • WEAK DEBT SERVICE
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BANK NPAs + CAPITAL LOSS; WEAKER FRESH CREDIT.		

04

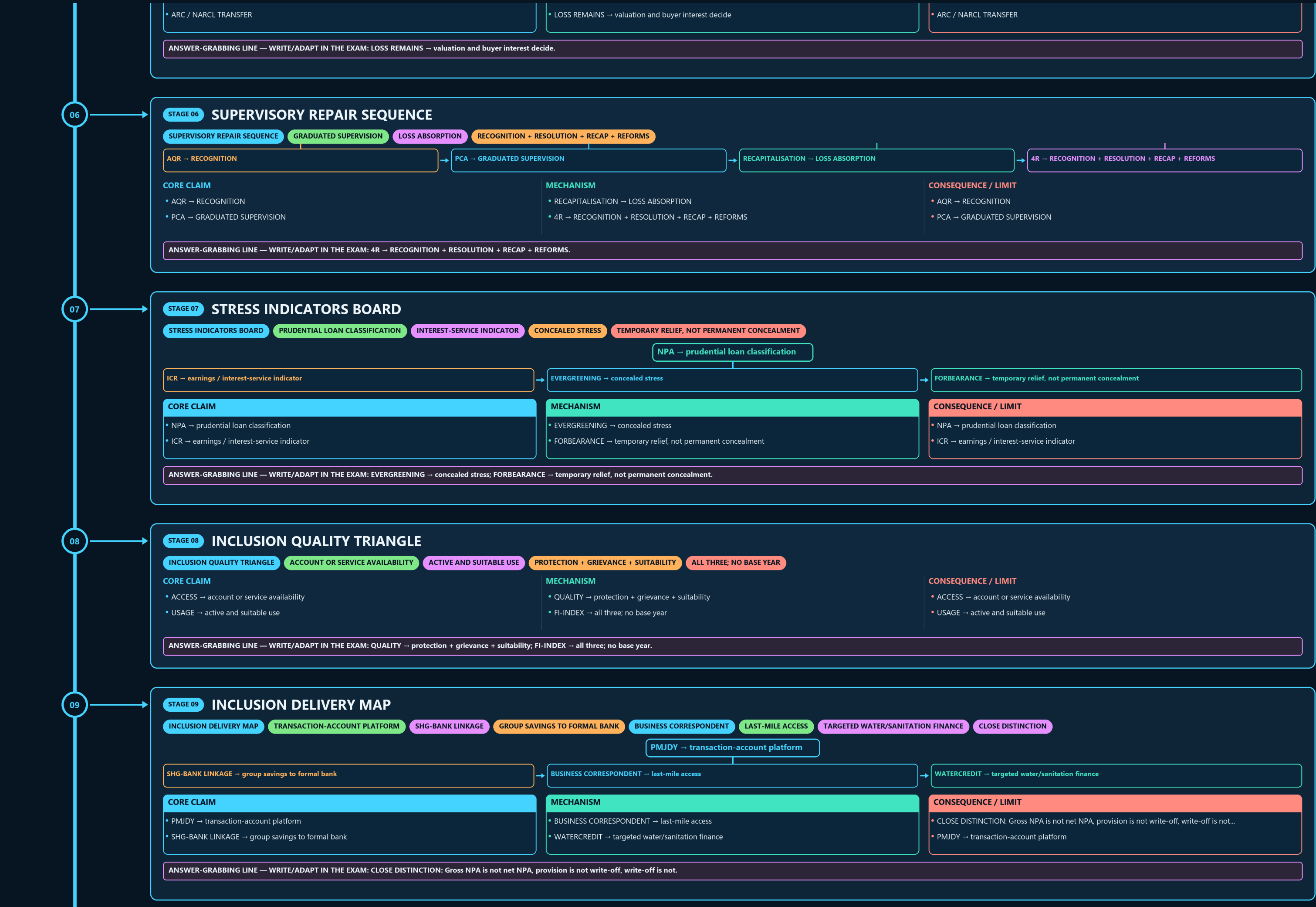
STAGE 04 RECOVERY-RESOLUTION LADDER		
RECOVERY-RESOLUTION LADDER	SECURED-ASSET ENFORCEMENT	SPECIALISED DEBT RECOVERY
COLLECTIVE INSOLVENCY		
LENDER COORDINATION, NOT A TRIBUNAL		
SARFAESI → secured-asset enforcement		
DRT → specialised debt recovery		
IBC / NCLT → collective insolvency		
ICA → lender coordination, not a tribunal		
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• SARFAESI → secured-asset enforcement • DRT → specialised debt recovery	• IBC / NCLT → collective insolvency • ICA → lender coordination, not a tribunal	• SARFAESI → secured-asset enforcement • DRT → specialised debt recovery
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: IBC / NCLT → collective insolvency; ICA → lender coordination, not a tribunal.		

05

STAGE 05 STRESSED-ASSET TRANSFER		
STRESSED-ASSET TRANSFER	BANK BALANCE SHEET	NARCL TRANSFER
SPECIALISED RECOVERY OR SALE		
LOSS REMAINS		
VALUATION AND BUYER INTEREST DECIDE		
BANK BALANCE SHEET		
ARC / NARCL TRANSFER		
SPECIALISED RECOVERY OR SALE		
LOSS REMAINS → valuation and buyer interest decide		
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• BANK BALANCE SHEET • ARC / NARCL TRANSFER	• SPECIALISED RECOVERY OR SALE • LOSS REMAINS → valuation and buyer interest decide	• BANK BALANCE SHEET • ARC / NARCL TRANSFER
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LOSS REMAINS → valuation and buyer interest decide.		

06

STAGE 06 SUPERVISORY REPAIR SEQUENCE		
SUPERVISORY REPAIR SEQUENCE	GRADUATED SUPERVISION	LOSS ABSORPTION
RECOGNITION + RESOLUTION + RECAP + REFORMS		
AQR → RECOGNITION		
PCA → GRADUATED SUPERVISION		
RECAPITALISATION → LOSS ABSORPTION		
4R → RECOGNITION + RESOLUTION + RECAP + REFORMS		
CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• AQR → RECOGNITION • PCA → GRADUATED SUPERVISION	• RECAPITALISATION → LOSS ABSORPTION • 4R → RECOGNITION + RESOLUTION + RECAP + REFORMS	• AQR → RECOGNITION • PCA → GRADUATED SUPERVISION



09

STAGE 09 INCLUSION DELIVERY MAP

INCLUSION DELIVERY MAP

TRANSACTION-ACCOUNT PLATFORM

SHG-BANK LINKAGE

GROUP SAVINGS TO FORMAL BANK

BUSINESS CORRESPONDENT

LAST-MILE ACCESS

TARGETED WATER/SANITATION FINANCE

CLOSE DISTINCTION

PMJDY → transaction-account platform

SHG-BANK LINKAGE → group savings to formal bank

BUSINESS CORRESPONDENT → last-mile access

WATERCREDIT → targeted water/sanitation finance

CORE CLAIM

- PMJDY → transaction-account platform
- SHG-BANK LINKAGE → group savings to formal bank

MECHANISM

- BUSINESS CORRESPONDENT → last-mile access
- WATERCREDIT → targeted water/sanitation finance

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Gross NPA is not net NPA, provision is not write-off, write-off is not...
- PMJDY → transaction-account platform

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Gross NPA is not net NPA, provision is not write-off, write-off is not.

10

STAGE 10 CREDIT-CLEANUP TRADE-OFFS

CREDIT-CLEANUP TRADE-OFFS

EARLY RECOGNITION

SHORT-RUN RATIO SHOCK

HIGHER CAPITAL

LENDING CONSTRAINT

FAST RECOVERY

VIABILITY RISK

DIGITAL ACCESS

EARLY RECOGNITION → credibility / short-run ratio shock

HIGHER CAPITAL → resilience / lending constraint

FAST RECOVERY → discipline / viability risk

DIGITAL ACCESS → lower cost / exclusion and mis-selling risk

CORE CLAIM

- EARLY RECOGNITION → credibility / short-run ratio shock
- HIGHER CAPITAL → resilience / lending constraint

MECHANISM

- FAST RECOVERY → discipline / viability risk
- DIGITAL ACCESS → lower cost / exclusion and mis-selling risk

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use ratio numerator/denominator and date,...
- EARLY RECOGNITION → credibility / short-run ratio shock

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Use ratio numerator/denominator and date,.

11

STAGE 11 NPA ANSWER SPINE

NPA ANSWER SPINE

DEFINE STRESS AND CLASSIFICATION

ABSORB LOSS THROUGH PROVISIONS AND CAPITAL

CHOOSE RECOVERY, RESOLUTION OR TRANSFER

RESTORE GOVERNANCE AND USEFUL INCLUSION

DEFINE stress and classification

ABSORB loss through provisions and capital

CHOOSE recovery, resolution or transfer

RESTORE governance and useful inclusion

CORE CLAIM

- DEFINE stress and classification
- ABSORB loss through provisions and capital

MECHANISM

- CHOOSE recovery, resolution or transfer
- RESTORE governance and useful inclusion

CONSEQUENCE / LIMIT

- DEFINE stress and classification
- ABSORB loss through provisions and capital

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CHOOSE recovery, resolution or transfer; RESTORE governance and useful inclusion.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

AN NPA CYCLE CAN BE DRIVEN BY MACRO SHOCKS

PROMPT RECOGNITION RAISES NEAR-TERM REPORTED STRESS BUT PREVENTS HIDDEN

CAPITAL CONSERVATION AND COUNTERCYCLICAL BUFFERS ADDRESS DIFFERENT RISKS

RESOLUTION MUST CHOOSE AMONG REVIVAL, CHANGE OF CONTROL, ASSET

INCLUSION SHOULD COMBINE TRANSACTION ACCOUNTS, SAVINGS, PAYMENTS, INSURANCE, PENSIONS

DIGITAL TRAILS CAN IMPROVE UNDERWRITING BUT REQUIRE CONSENT, GRIEVANCE

SETS PRUDENTIAL RECOGNITION, PROVISIONING, CAPITAL AND RESOLUTION-RELATED

OPTIONAL SOURCE DEPTH

- CAUTION: An NPA cycle can be driven by macro shocks, project delays, governance failures,
- CAUTION: Prompt recognition raises near-term reported stress but prevents hidden losses from
- CAUTION: Capital conservation and countercyclical buffers address different risks: firm
- CAUTION: Resolution must choose among revival, change of control, asset sale and liquidation

ADVANCED DEBATE

- CAUTION: Inclusion should combine transaction accounts, savings, payments, insurance, pensions
- CAUTION: Digital trails can improve underwriting but require consent, grievance redress and
- RBI: sets prudential recognition, provisioning, capital and resolution-related
- Insolvency and Bankruptcy Board of India and NCLT: administer the corporate

LEGACY / NUANCE

- Asset reconstruction companies: acquire and resolve stressed financial assets under
- Banks, business correspondents and digital-payment networks: deliver inclusion
- CAUTION: An accounting write-off removes a loan from active books but need not cancel recovery
- CAUTION: Evergreening uses fresh finance to conceal an unviable old exposure rather than restore

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.